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PROJECT APPRAISAL DOCUMENT

ON A

PROPOSED INTERNATIONAL DEVELOPMENT ASSOCIATION GRANT

IN THE AMOUNT OF SDR 1,100,000 (US$ 1.5 MILLION EQUIVALENT)

TO UNITED NATIONS INTERIM ADMINISTRATION MISSION IN KOSOVO

FOR THE BENEFIT OF KOSOVO

FOR AN

ENERGY SECTOR TECHNICAL ASSISTANCE PROJECT II

May 8, 2003

Infrastructure and Energy Department
South East Europe Country Unit
Europe and Central Asia Region

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CURRENCY EQUIVALENTS

(Exchange Rate Effective May 8, 2003)

Currency Unit = EURO
EURO 1.0 = US$1.135
US$1.0 = EURO 0.880

FISCAL YEAR
January 1 -- December 31

ABBREVIATIONS AND ACRONYMS

BMZ	:	Bundesministerium fur wirtschaftliche Zusammenarbeit (Ministry of Economic Cooperation)
CPE	:	Central Procurement Entity
CFA	:	Central Fiscal Authority
EA	:	Environmental Assessment
EAR	:	European Agency for Reconstruction
EC	:	European Commission
EMP	:	Environmental Management Plan
GTZ	:	Deutsche Gesellschaft fur Technische Zusammenarbeit (GTZ) GmbH (German Association for Technical Cooperation)
KEK	:	The Power Company of Kosovo
KESH	:	The Power Company of Albania
KfW	:	Kreditanstalt fur Wiederaufbau (Bank for Reconstruction)
NGOs	:	Non-Governmental Organizations
PMR	:	Project Management Report
QCBS	:	Quality and Cost-Based Selection
RFP	:	Request for Proposals
SCADA	:	System Control and Data Acquisition
SEE-REM	:	South East Europe-Regional Electricity Market
TORs	:	Terms of Reference
UNMIK	:	United Nations Interim Administration Mission in Kosovo
USAID	:	United States Agency for International Development

WEIGHTS AND MEASURES

kV	:	Kilovolt
kW	:	Kilowatt
MW	:	Megawatt = 1,000 kilowatts
kWh	:	Kilowatt hour
GWh	:	Gigawatt hour = 1 million kWh

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KOSOVO
ENERGY SECTOR TECHNICAL ASSISTANCE PROJECT II

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KOSOVO
Energy Sector Technical Assistance Project II

Project Appraisal Document

Europe and Central Asia Region
ECSIE

Date: May 8, 2003
Sector Manager/Director: Henk Busz
Country Manager/Director: Orsalia Kalantzopoulos
Project ID: P079019
Lending Instrument: Technical Assistance Loan (TAL)

Team Leader: Mohinder P. Gulati
Sector(s): General energy sector (100%)
Theme(s): Conflict prevention and post-conflict reconstruction (P)

Project Financing Data

[ ] Loan [ ] Credit [X] Grant [ ] Guarantee [ ] Other:

For Loans/Credits/Others:
Amount (US$m): $1.50

Financing Plan (US$m): Source	Local	Foreign	Total
BORROWER/RECIPIENT	0.00	0.00	0.00
IDA GRANT FOR POST-CONFLICT	0.00	1.50	1.50
Total:	0.00	1.50	1.50

Borrower/Recipient: UNITED NATIONS MISSION IN KOSOVO
United Nations Interim Administration Mission in Kosovo
Responsible agency: UNMIK, KTA, KEK
UNITED NATIONS INTERIM ADMINISTRATION MISSION IN KOSOVO.
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Estimated Disbursements (Bank FY/US$m):

FY	2004	2005						
Annual	1.00	0.50						
Cumulative	1.00	1.50						

Project implementation period: August 2003 - December 2004
Expected effectiveness date: 08/01/2003 **Expected closing date:** 06/30/2005

OPCS PAD Form: Rev. March, 2000

A. Project Development Objective

1. Project development objective: (see Annex 1)

Assist in (i) developing capacity for a commercially sustainable exchange of power with the regional system, and optimizing utilization of existing generation capacity through economic dispatch; and (ii) developing a framework for attracting private sector investment in the energy sector.

2. Key performance indicators: (see Annex 1)

- Timely preparation and acceptance of a detailed feasibility study for a transmission interconnection between Kosovo and Albania, and development of commercially sustainable terms of exchange of power with the neighboring power utilities.
- A bankable proposal for financing the establishment of a dispatch center in Kosovo.
- Delivery and acceptance of a satisfactory report on a policy, legal, regulatory, and institutional framework for private sector investments in the energy sector.

B. Strategic Context

1. Sector-related Country Assistance Strategy (CAS) goal supported by the project: (see Annex 1)
Document number: R24275-KOS **Date of latest CAS discussion:** July 25, 2002

Following the Kosovo conflict, a Transitional Support Strategy for Kosovo (R99-178) and its supplement (R2000-130) supported a program of post-conflict reconstruction and economic recovery up until CY2001. Continuation of Bank assistance through the use of IDA grants for the remaining period of the reconstruction and recovery program (i.e. until end-2003) was endorsed by the Executive Directors on July 25, 2002 with the Transition Support Strategy (R 24275-KOS). The overall objective is to support sustainability of the reconstruction and recovery program. The Bank would seek to maximize the impact of the limited resources it can make available, by selective use of grant funds to focus on poverty alleviation and limited budget support, and an extensive program of analytical work. The Bank will continue its donor coordination role. UNMIK has asked the Bank, and the Transitional Support Strategy (TSS) affirms, that the Bank should assist in putting the energy sector on a sustainable path. The proposed project, identified in the TSS, would follow up on the recently completed comprehensive sector study. It would fund a feasibility study for priority investments in transmission, preparation of a bankable project for a dispatch center, assistance in establishing optimal exchange with the neighboring systems, and preparation of a framework for attracting private sector investment in the energy sector.

2. Main sector issues and Government strategy:

Introduction : Present Situation of the Energy Sector. The Kosovo energy sector has suffered from conflict damage, loss of mobile equipment, and lack of maintenance and poor management dating back to before the conflict of 1998-99. Poor performance of its thermal generation plants, a major accident caused by a landslide of overburden at Bardh coal mine in November 2002, and a lightning-induced fire at Kosovo B (its main power generation plant), are manifestations of years of neglect in maintenance. The following provides a brief description of the current situation of the sector.

Electricity.

Generation assets are old and almost entirely lignite based. Electricity in Kosovo is produced by two lignite-fired thermal power plants, Kosovo-A (comprising of five units for a total capacity of 800 MW,

mostly very old plants) and Kosovo-B (comprising of 2 units of 339 MW each, of about 15 year vintage) and the Ujman hydropower plant (about 35 MW). After the recent lightning-induced fire accident at Kosovo B, a program of its repair and rehabilitation is under implementation. All the five units of Kosovo A, and Kosovo B2 have been rehabilitated and rehabilitation of Kosovo B1 is expected to be completed by July 2003. After completion of this rehabilitation program, about 1000 MW of maximum capacity (up from 620 MW currently available) is projected to be available, though one should treat it with some caution due to unpredictable reliability of old plants after repairs.

Poor capacity utilization leads to shortages. Before the conflict, annual electricity generation was about 4,500 GWh, which went down to about 1,900 GWh in 2000. Since then it has been steadily improved to about 2,600 GWh in 2001, and about 3,100 GWh in 2002. The energy consumption, constrained by supply shortages, has increased from about 2,900 GWh in 2000 to about 3,300 GWh in 2002. Only about 53% of the electricity supplied was billed in 2001 (technical and nontechnical losses were 47%) and only 64% of the amount billed was collected. In 2002, the losses came down to about 41%, and of the 59% energy billed only 59% was collected.

Adverse changes in consumer-mix. Over the last 10 years, the consumer mix of KEK has changed to its detriment- away from high value, high volume industrial consumers to subsidized and low voltage consumers such as households. The household share of consumption increased from 26% to 75% and the share of services increased from 7% to 13%, while industry's share fell from 67% to 12%. The use of electricity for heating accounts for about 64% of the quantity supplied, and the monthly energy consumption in December is almost two and half times that in July for the same reasons. The electrification rate in Kosovo is close to 100% and KEK has about 360,000 customers.

Network is in poor condition. The total length of transmission lines (400, 220 and 110 kV) is 1,162 km. Most of the transmission lines are now in operation following post-conflict repairs, but the substations are still in bad technical condition. The transmission system is interconnected with all the neighboring systems, and the 220 kV and 400 kV lines are important for power exchanges between the power systems of the Second Synchronous Zone of the Union for the Coordination of Transmission of Electricity (UCTE). The total length of distribution lines is about 29,000 km. Conflict damage affected about 30% of the distribution network.

Electricity supply and quality of service continues to be unsatisfactory. Inspite of emergency rehabilitation of generation plants and the network, Kosovo continues to suffer from severe shortages. Quite often the supply is regulated to two hours of black out for every four hour of supply, thereby imposing huge economic costs. After some improvement in generation in the first half of 2002, the fire accident at Kosovo B in July 2002 and a coal mine accident in November 2002 set back the gains of initial improvements. Import of electricity worth about US$ 19 million helped Kosovo meet peak requirements of electricity for space heating during the winter months of 2002-03, which is not a sustainable situation. The quality of supply also suffers due to poor maintenance of the distribution network and poor operating practices. Customer service i.e. metering, billing, collection, response time to local technical faults, etc. is also unsatisfactory and the power utility is genreally not perceived to be responsive to customer complaints.

Lignite. Kosovo possesses one of the most favorable and very large (about 10,000 million tons) lignite deposits in Europe. Prior to the conflict, the Mirash and Bardh mines produced about two-thirds of their production capacity of 16.7 million tons per year. Although there were no conflict-related physical damages in the mines, all mobile equipment had been taken out of Kosovo by the end of the conflict. Overburden removal had been neglected for years. As a result, the mining fronts were steep

and unstable. This led to a major accident in November 2002 in Bardh coal mine where, after a few days of heavy rains, a landslide in the overburden led to extensive damage to equipment and closure of the mine. There is considerable smoldering of coal remnants, caused by self-ignition. Despite actions taken since the conflict, with financing made available by the EAR and Germany to replace lost equipment and carry out urgent repairs, coal production was only about 5.5 million tons in FY 2002, which significantly constrains electricity generation capacity.

District Heating. District heating systems in Pristina, Gjakova and Mitrovica supply heated water from heavy fuel-oil fired boilers, meeting about 5% of the heat demand in Kosovo. The Pristina system serves about 12,000 apartments, the Gjakova system about 700 apartments and the Mitrovica system about 160 apartments. The systems did not incur much damage during the conflict, but they have suffered from years of neglect, lack of maintenance and under-investment, combined with poor operating techniques. At the same time, the need for heat has increased since the large amount of damage to houses in rural areas has led many people to move into the cities.

Oil and Gas. Kosovo has no known indigenous oil or gas resources and no oil refinery. It depends entirely on imported petroleum products, and consumes about 400,000 tons per year. A gasification plant at Kosovo A used to extract low calorie gas from lignite. The gas was used by local industries and some was shipped by pipeline to Skopje. The gasification plant and the Kosovo portion of the gas pipeline are no longer functioning.

Fuel Wood. Fuel wood accounts for over 20% of energy consumption in Kosovo, with the wood being used mainly for cooking and space heating by households. Fuel wood consumption is about equal to the natural annual growth of forest stock. When account is taken of non-energy demands for wood plus the possibility of future increased demand for wood for energy use, there appears to be a potential problem of increasing deforestation.

Energy Sector Study.

In accordance with a program for reconstruction and recovery in Kosovo agreed at a Donors' Conference in Brussels on November 17, 1999, a technical assistance project was financed by the World Bank Trust Fund for Kosovo to help develop a strategy for the energy sector.

The technical assistance involved preparation of an Energy Sector Study focusing on: (i) defining a least-cost investment program for rehabilitation, reconstruction and expansion of the energy sector over a period of 15 years; and (ii) preparing recommendations for institutional strengthening and the sector reforms. A draft report covering the 13 modules of the study was presented in a seminar held in Pristina in September, 2002. More than 100 participants representing UNMIK, donors, KTA, utility management, civic society, and the private sector participated. The recommendations of the study were endorsed, and the report has since been finalized and accepted by UNMIK. The main issues identified by the study and its recommendations are as follows:

Main Issues.

Large needs for physical rehabilitation, reconstruction and expansion in the power and linked lignite sectors. While substantial investments have been carried out since the end of the conflict, much more is needed. Major future investments should be justified in terms of an overall least-cost strategy for future sector development. Questions arise concerning the rate of growth of energy demand, especially electricity demand, and when to retire existing power generating units. If new generating units are chosen, should they be lignite power plants, hydropower plants, or perhaps gas-fired plants using

imported natural gas? Should Kosovo construct its own power dispatching system?

Self-sufficiency vs. regional coordination in electricity supply. For meeting its peak demand, Kosovo is confronted with a "make or buy" decision. Should Kosovo invest in its own generation plants or procure its power through trade with neighboring power systems? If so, what arrangements should be made to provide for this trade and what would the related investments be?

The role of lignite. If the existing coal-fired power plants are rehabilitated and if new coal-fired plants are to be built, Kosovo's constrained ability to get financing for the investments in domestic lignite production would be an issue. Another issue in lignite mining is the potential for reducing cost of domestic production by commercializing and improving efficiency and productivity of mining operations.

The role of district heating. Questions arise concerning whether the existing district heating systems are competitive with other forms of energy, whether combined heat and power production would be a cost-minimizing option, and what fuels should be used to produce district heat.

The possible role of natural gas. As mentioned above, Kosovo does not have domestic natural gas resources, nor does it import gas. However, gas is used in neighboring Serbia, the Former Yugoslav Republic of Macedonia and Greece. Would it be economic to bring gas to Kosovo, and, if so, in what sectors and areas would the gas be best used, and what investments and institutional arrangements would it be desirable to make?

Fuel substitution for heating. The main sources of energy used for heating in Kosovo, especially by households, are fuel wood and electricity. The use of fuel wood is polluting and can lead to deforestation. Electricity is normally more expensive for heating than substitute forms of energy, but in Kosovo its use has grown rapidly, in part because consumers have been able to get electricity at little or no cost by by-passing their meters, making illegal connections and not paying their electricity bills. What forms of energy, if any, are economically competitive with electricity and fuel wood in Kosovo, and what measures should be taken to encourage them? In addition, what measures should be taken to provide incentives for energy efficiency, particularly in space heating, since the existing building stock as well as new construction are not energy efficient.

Financial performance of KEK. Its tariff structure is differentiated by consumer category, level of consumption and supply voltage, time of use and season. Nominal tariffs per kWh range from equivalent of US cents 2.5 to 6 for high and medium voltage consumers respectively, and US cents 6 to a marginal rate of US cents 12.5 for residential consumers (higher tariff is for consumption exceeding 800 kWh per month in winter at peak time). Average realization in 2002 was US cents 5.4 per kWh. Though nominal tariffs levied by KEK are adequate to cover costs, it suffers from large technical and nontechnical losses. Illegal connections, tampering with meters, inefficient use of electricity due to unmetered supply, and poor collection have led to poor financial performance of KEK. Its systems, business processes, and internal controls are also inadequate for a modern commercially oriented utility. After considerable delay, the audit of KEK's financial accounts has been recently completed and submitted by the auditors for management's review.

Environmental Issues. Environmental issues are important especially with respect to lignite mining and the burning of lignite at Kosovo A and B. What standards should be adopted to regulate environmental impacts?

Attracting private sector investment. Since vast deposits of lignite are a major natural resource available

in Kosovo, there is a strong desire to utilize it for economic development. Kosovo does not have financial resources to develop coal mines and power plants, and therefore has to try to attract private capital. The most plausible opportunities are in inviting private investment in export oriented private power generation projects. However, the policy and legal framework for private investment, particularly in large infrastructure projects, is either unclear or absent.

The need to re-establish and further develop an institutional framework for the energy sector. At the end of the conflict, there was virtually no administrative structure in Kosovo, and UNMIK temporarily assumed the role that elsewhere would be performed by a government. A government has now been established, which, for the time being, shares responsibilities with UNMIK but the energy sector is a reserved subject and vests with the UNMIK. Immediately before the conflict, the Kosovo power system was managed from Belgrade. By the time the conflict ended, the local managers had left and the system data had been lost. UNMIK created the Power Company of Kosovo (KEK) as a new power utility and re-established basic functions such as billing customers. While UNMIK has supervisory control over KEK and the other non-private energy sector companies, the issues concerning ownership of assets are being clarified only gradually. The following sub-issues may be identified relating to institutional strengthening, creation and development in the energy sector:

(i) the nature and pace of evolution of a regulatory framework for the power and lignite, district heating and petroleum sub-sectors, and for natural gas in the event that gas is imported;
(ii) consistent with improvement in institutional capacity, evolution of KEK and the other energy sector companies, including possible new ones (e.g. for petroleum and natural gas), towards greater autonomy, corporatization, commercialization and eventual competition and privatization; and
(iii) the creation of technical capacity and institutional framework (e.g. government body for policy development, transmission system operator, modern dispatch center) for compliance with the requirements of South East Europe-Regional Electricity Market (SEE-REM) which Kosovo has joined in November 2002.

Recommendations of the study

Electricity. On the basis of the least-cost power generation investment program determined for the medium electricity demand growth scenario (based on GDP growth of 6% per year), the additions to domestic generating capacity could be postponed to 2013 if an appropriate scheme of electricity exchanges (export during non-peak hours and import during peak hours) can be established with neighboring systems, Kosovo's generation plants are rehabilitated, and transmission interconnection is built. In the high growth scenario, additions to power generating capacity could be postponed to 2009. The power exchanges would require imports of up to 300 MW while the exports can range between 210 to 520 MW.

The power transmission master plan identifies the need for substantial investments in substations and transmission lines. One question requiring further study concerns whether investments are needed for new transmission system interconnection facilities to accommodate the power exchanges identified as required in the least-cost power generation investment program. If the exchanges were with Serbia the existing transmission facilities would be sufficient. But it is doubtful whether Serbia would be able to provide sufficient electricity at as low cost as other sources such as Albania. Because of its predominantly hydropower system, Albania would be able to supply electricity during peak periods as long as it is compensated by a larger amount of electricity during off-peak periods. However, carrying out the electricity exchanges with Albania would require the construction of a new transmission line. An analysis done in the study finds that a 400 KV transmission line from Kosovo B to Kashar, Albania would be technically and economically preferable to either a new 220 kV interconnection between

Kosovo and Albania or a 400 kV interconnection between Podgorica, (Montenegro) and Kashar (Albania). However, this analysis would need to be confirmed using a broader regional approach. It would also be desirable to determine the limits within which electricity exchanges would be profitable for the both power systems involved, in terms of the quantity of off-peak electricity which should be exchanged for a given amount of peak electricity.

The study recommends a new power dispatch system, including associated communication facilities.

The largest investments proposed are for the power distribution system. The main work would consist of carrying out a gradual transition from the 10 kV voltage level to the 20 kV voltage level together with a phase-out of the 35 kV level. There would also be expenditures on meters for customers who are currently without them.

Lignite. From among the various lignite production scenarios analyzed, the study recommends a scenario involving production of about 7.5 million tons per year, initially from the existing Mirash West, Bardh and Brand mines, with exploitation of the Mirash East Mine starting in 2005, then substitution of lignite production by the new Sibovc mine in 2017. However, once the currently ongoing assessment of the damage caused by the accident at Bardh mine, described in the previous section, is concluded it may warrant a review of these assumptions and opening of Sibovc mine may become a priority. All of the lignite except about 0.5 million tons per year would be used for power generation.

District heating. The study proposes tailor-made district heating strategies for Pristina, Gjakova and Mitrovica. The strategies involve rehabilitation, upgrading and a modest number of new connections. Consumers would be gradually provided with thermostatic radiator valves and heat allocators, and some consumers would be provided with hot tap water. Concerning the production facilities, if natural gas is made available the least-cost solution would be to convert the existing fuel-oil fired boilers to natural gas. If gas is not available the least-cost solution would be to continue with fuel oil.

Natural gas. The study concludes that it would not be economic to introduce imported natural gas to Kosovo at the present time. This finding is not surprising given the absence of demand for gas for power generation prior to 2013 and the relatively low demand in industry and district heating. Nevertheless the study recommends that the gas option be reviewed regularly since the situation could change due to changing relative energy prices on international markets, the emergence of energy-intensive industry or possible interest in constructing transit gas pipelines through Kosovo.

Fuel substitution. The study finds that heating oil is the least-cost form of energy for space heating in households if natural gas is not available. It makes several recommendations to encourage the use of heating oil by households as a substitute for electricity and fuel wood. Its various recommendations to reduce nontechnical losses of electricity and improve bill collection would contribute to this goal. Recommendations on the petroleum side include: setting up new regulations concerning safety, security, environmental impacts, and other matters affecting the import, transportation, distribution and trade of petroleum products; reducing taxes on heating oil; reallocating as much as possible of the petroleum transportation to rail transport; establishing regular contacts with the Greek and Macedonian authorities in order to avoid high transit fees; and establishing a Competition Council to overview the functioning of the petroleum market. The study also recommends the phased establishment over the period 2002-2015 of a 90-day compulsory oil stock in order to comply with requirements imposed on European Union members.

Environment. Considerable attention is paid to environmental issues. In the coal sector it is recommended to spend US$ 1.8 million to extinguish the coal mines fires, and that all of the 1,000

hectares of outside dumps be reclaimed within 10 years, with the land being brought into cultivation and sold to the public. In the power sector it is proposed to take the necessary actions to reduce pollution nearly to the levels prescribed by EU standards for existing plants, except for smaller units of Kosovo A which are expected to be phased out by 2007. This would involve: reducing dust emissions from Kosovo A3, A4 and A5 to below 100 mg/Nm^3, and to below 50 mg/Nm^3 from Kosovo B after January 2008; monitoring emissions of dust and other pollutants; ensuring that the process water is neutralized; rehabilitating ash transport; and considering measures to reduce NOx emissions if later investigations show these to exceed limits defined by EU directives. Flue gas desulfurization was not considered necessary because of the relatively low sulfur content of the coal and its relatively high rate of bonding with ash and slag. Recommendations are made with respect to the application of the principles of sustainable forestry management, and energy conservation.

The recommended investments are summarized below:

	US$ million (Year 2002 Prices)			
	2003-2005	**2006-2010**	**2011-1015**	**Total**
Coal	73	16	3	92
Total Power	267	193	241	691
Power generation	*39*	*18*	*93*	*149*
Transmission	*27*	*27*	*26*	*80*
Distribution	*177*	*145*	*122*	*444*
Dispatch	*14*	*4*	*0*	*18*
District Heating	23	11	3	37
Petroleum	12	9	8	28
Total	**364**	**228**	**255**	**847**
Oil stock	*17*	*8*	*9*	*34*

The oil stock (as opposed to the facilities to store the oil) is assumed to be financed by the oil companies.

Policy framework for private investment. The report suggests that in order to promote private sector investments, an appropriate policy framework should be created that should include laws and regulations to govern the investment process; institutions to manage the process; and the procedures to facilitate investments.

Institutional and Reform Measures. The report proposes a number of measures to improve efficiency, focusing especially on reducing nontechnical power losses and improving collections. It recommends establishment of production, transmission, and distribution of power as separate cost centers, and reorganization of the production division of the coal mines. There are a number of recommendations on establishing an effective and transparent regulatory framework for electricity, district heating and natural gas. The institutional recommendations were designed to comply, as far as possible, with the relevant EU directives.

Tariff structure. The current electricity tariff level and structure were found to be largely in line with the long-run marginal costs and the financial costs, requiring only minor modifications. The main sources of KEK's financial difficulties are considered to be extremely high technical and nontechnical losses, and a low bill collection rate. The study recommends a lifeline tariff block of 100 kWh/month, corresponding to the amount that would allow for lighting, basic appliances and a very limited use of electricity for water heating and cooking. Different options are presented for financing the subsidy

involved in offering the lifeline block at a below-cost price. New tariffs are proposed together with a transition path.

Government Strategy

UNMIK will prepare and adopt an energy strategy based on the recommendations of the Energy Sector Study some of which are described above. A Steering Committee comprising of representatives of PISG (senior representatives of the Prime Minister, Minister of Finance and Economy, Minister of Trade and Industry, and Minister of Environment and Spatial Planning), UNMIK, KTA, KEK, academia, NGOs, and the donors has been formed to develop the energy sector strategy which will be issued as " White Paper" of the government. To initiate discussion of various complex issues that would be included in the strategy paper, a "Green Paper" has been prepared and disseminated for public consultation. A recently established division of UNMIK (Energy Office and Central Regulatory Unit) will steer adoption of this strategy and prepare an implementation plan. According to the current schedule, the "White Paper" is expected to be issued for consultation by June 2003. The initial views on the sector strategy emerging from these discussions indicate that Kosovo wants to integrate into regional market, adopt an approach of regional development instead of creating capacity within Kosovo to become self sufficient, promotion of IPPs, and implement institutional measures such as creation of regulatory agency, restructuring of KEK into separate cost centers and spinning off unviable business activities.

3. Sector issues to be addressed by the project and strategic choices:

As explained in the preceding section, the sector is affected by several complex issues which can be addressed only in a phased manner. EAR is funding institutional development consultants for KEK, initially for a period of two years. In KEK, the establishment of cost centers, a new organization structure, clear definition of job descriptions and skill requirements, employee performance evaluation, are some of the measures currently under implementation. The USAID funded consultants are helping in improvement in billing and collection through implementation of a "customer care package". The Government is keen to adopt policies and put in place the legal, regulatory, and institutional mechanisms that will help attract private investment in the energy sector, even if transactions are not imminent in the current political and economic environment since institutional changes require a long lead time for successful implementation. EAR is also planning to fund technical assistance to UNMIK for operationalizing the recently established Central Regulatory Unit, defining the structure of future Ministry of Energy to which the authority for energy sector is expected to be transferred by UNMIK, and on institutional arrangements for dealing with energy efficiency issues.

The proposed project will help in implementation of Kosovo's strategy of intensifying regional integration in the sector. Three main issues which the proposed project seeks to address through the provision of technical assistance are: (a) finding the best solution to meet peak power shortages through a more economic regional approach instead of Kosovo investing in building its own expensive peaking capacity, (b) better utilization of its existing generation plants by establishing a modern dispatch center, and (c) preparation of a framework for private sector investments in the energy sector.

The Albania and the Kosovo systems are very complementary since Albania is a predominantly hydro system while Kosovo is a predominantly thermal system. Strengthening exchange of power between them can be beneficial for both of them. From the point of view of Albania and Kosovo, this interconnection would result in the following benefits:

- Medium and long-term optimization of hydrologic resources of Albania;
- Reduction in the operating costs of Kosovo power system due to better utilization of thermal

power plants;

- Improvement in reliability of electricity supply for customers as a result of increase in generation availability, mitigation of 'hydro risk' for the Albanian power system and the 'peak capacity risk' for the Kosovo power system;
- Reducing the projected necessary investments in installed generating capacity in both countries since the availability of Albanian hydropower would reduce Kosovo's need to invest in peaking capacity and ancillary services, and the supply of Kosovo thermal electricity to Albania (in excess of hydropower received) would reduce Albania's need to invest in base-load capacity;
- Strengthening the interconnected South East European network through establishment of a new 400 kV interconnection line which will increase exchanges and transactions of electricity between other countries in the region, strengthening the regional electricity market (REM) operating under UCTE rules and the EC directives and regulations and consequently regional cooperation and stability.

Kosovo is obliged to establish a transmission system operator under an MoU that all the countries in the region signed in November 2002, for creation of a regional electricity market (SEE-REM). Establishment of a dispatch center will facilitate creation of a transmission system operator in Kosovo.

C. Project Description Summary

1. Project components (see Annex 2 for a detailed description and Annex 3 for a detailed cost breakdown):

Three components identified on the basis of the ESTAP-I Energy Sector Study (December, 2002) and discussions with the Recipient are: (i) preparing a detailed feasibility report for a 400 kV transmission interconnection between Kosovo and Albania taking into account regional perspective, and developing an approach for commercially sustainable terms of exchange of power with the neighboring systems. The feasibility study will be conducted in coordination with Albania; (ii) preparing a bankable project for establishment of a dispatch center in Kosovo; and (iii) assistance in developing a policy, legal, regulatory, and institutional framework for private investment in the energy sector. The Terms of Reference for Component (iii) are currently being developed. The TORs will include, inter alia, a review from the perspective of foreign private investors of issues such as applicable commercial law, business registration, currency regime and profit repatriation; access to international finance and guarantees; applicable investment protection treaties; ownership of property laws relating to securing of obligations, concessions, leases and mortgages; energy sector regulation, licensing, energy trading, regulatory institution; labor laws affecting foreign private investment; dispute resolution systems; taxation (export/import duties, VAT, presumptive and profit taxes, personal income tax etc., municipal taxes, royalties); and applicable environmental regulation etc. A provision of US$ 15,000 equivalent to meet the project audit costs for a period of two years, and of US$ 35,000 equivalent to meet the project incremental operating costs has been made, from the proceeds of the Grant. Detailed description of the components is provided at Annexure 2.

The estimated cost of establishing a dispatch center could range from US$ 12 to 17 million, depending on the technical alternative selected. In a phased implementation program extending over a period of three years, Kosovo may need about US$ 7-8 million for the first phase. Financing has not yet been arranged for this investment. EAR is also providing some grant funds for installation of boundary meters and data acquisition system which will be integrated into the dispatch center whenever it is established. Preliminary cost estimate of the transmission line is about US$ 56 million of which US$ 21 million is for Kosovo and US$ 35 million for Albanian portion of the line. This project has been included in the investment program proposed for funding under the Stability Pact. KfW has also indicated its interest in financing and will like to use the proposed feasibility study for the purpose.

Component	Indicative Costs (US$M)	% of Total	Bank-financing (US$M)	% of Bank-financing
Regional Interconnection Component: Detailed feasibility report for 400 kV connection between Kosovo B and Kashar (Albania) and assistance in developing optimal terms of exchange of power	0.85	56.7	0.85	56.7
Dispatch Center Project Component: Preparation of a bankable project for financing a dispatch center	0.25	16.7	0.25	16.7
Private Sector Participation Policy Component: Framework for private investment in the energy sector	0.35	23.3	0.35	23.3
Incremental Cost (including project audit costs)	0.05	3.3	0.05	3.3
Total Project Costs	1.50	100.0	1.50	100.0
Total Financing Required	1.50	100.0	1.50	100.0

2. Key policy and institutional reforms supported by the project:

Adoption of a more beneficial regional approach for expansion. Kosovo needs to strengthen its participation in exchange of power with the neighboring systems. Energy Sector Study has confirmed that the "self sufficiency" strategy for meeting its electricity requirements is economically less advantageous than a "regional" strategy, if the terms of exchange are mutually beneficial, and commercially sustainable. To foster development and reinforcement of a Regional Electricity Market, it is necessary to develop technical ability in the system, commercial agreements with trading partners, and institutional capacity in KEK. Kosovo is a joint signatory, with other countries in the region, to an MoU for establishment of a "South East Europe Regional Electricity Market" (SEE-REM) and its integration into the "European Union Internal Electricity Market". The project will help Kosovo partially comply with its obligations under the MoU and strengthen its integration into the regional market.

Creation of capacity for power trading with neighboring systems. As explained in preceding sections, Albania and Kosovo systems are mutually complementary since the former is predominantly hydro and the latter is predominantly thermal system. Instead of investing in expensive peaking thermal capacity, it is beneficial for Kosovo to exchange its off-peak power with peak power from the hydro system of Albania. Such an arrangement will benefit both systems. A 400 kV interconnection between Kosovo and Albania will also allow higher power exchange, lower regional power losses, and mitigate some network congestion for transfer of power from North to South of the region.

Economic dispatch of existing generation plants. Absence of a data acquisition and control system in the utility leads to sub-optimal dispatch of its generating capacity and management of load. The old system acquired in the '80s was damaged in conflict and restoration of this system can be expensive and uneconomic due to technological obsolescence. To optimize utilization of its capacity and operation of its transmission network a modern dispatch center is almost a sine qua non for a utility. In addition, in future this control system will need to be connected to the neighboring control centers to improve power exchange.

Framework for private sector investments in the energy sector. For a power-export led growth strategy, Kosovo needs to attract private sector investments. The project will assist in identifying the requirements of foreign private investor in large infrastructure projects; a general diagnostic review of existing policy, legal, regulatory, and institutional arrangements to identify the gaps; and recommendations on alternatives that are most appropriate for Kosovo to meet the requirements.

Institutional development of KEK. Institutional capacity of KEK to operate as a modern, financially viable utility, in a commercial environment needs to be strengthened. EAR has provided funding for institutional development of KEK for a period of two years. During the supervision of the project, the Bank will closely coordinate with the donors and the institutional development consultants.

3. Benefits and target population:

Kosovo will benefit from this assistance in four ways: (i) detailed feasibility report for the proposed transmission interconnection will help it to prepare a bankable project and seek financing for this investment and strengthen further evolution of regional electricity market, (ii) the study of the terms of electricity exchange would help Kosovo to prepare for future negotiations and thereby contribute to reducing the costs to Kosovo of the power exchange, (iii) preparation of bankable project for a dispatch center will help seek financing for this critical investment required to optimize utilization of its generating capacity and management of its system, and comply with its obligations as a participant in the regional electricity market, (iv) create an enabling environment for attracting private sector investments.

Strengthening exchange of power with Albania and other neighboring systems, can lead to deferment of new expensive generation capacity for meeting peak loads, thereby reducing the fiscal burden and cost of power to the consumers.

4. Institutional and implementation arrangements:

The grant would be given to UNMIK. UNMIK and Kosovo Trust Agency will be the implementing agencies.

There will be a maximum of three contracts for delivery of technical assistance. The contract for preparation of framework for private investment will be managed by the Energy Office of UNMIK which has recently hired qualified professionals experienced in sector strategy and regulatory matters. A team comprising of the Head of Energy Office, Senior Economic Advisor of UNMIK, Head of Central Regulatory Unit, and Director of Private Sector Development of PISG, has been formed to be the counterparts to the consultants. The other two contracts will be managed by the energy division of KTA, with the assistance of KEK and in coordination with the Albanian power utility KESH. The decisions have been taken on the structure of the counterpart teams and the necessary technical skills. Qualified staff will be selected from KEK for the counterpart teams.

The project would be managed by KTA and the Energy Office of UNMIK, who will be responsible for selection of the consultants in accordance with Bank guidelines, supervision of their work, evaluation of results of the technical assistance, assistance in disbursements, and preparation of follow-up actions. KEK will be fully involved in the studies. KEK will provide counterpart teams to work with the consultants, provide data, coordinate with other utilities including Albanian counterpart KESH, and review the output of the consultants. Project financial management will continue to be handled by an international financial manager and two assistants located in the MFE. The MFE will be responsible for the financial management and reporting requirements of the project. The MFE has in place a financial management system that is capable of producing project management reports as required by the Bank. This system has already been utilized for other Bank funded projects. All payments from the IDA Grant will be made directly by the Bank and as a result no special account will be opened. Based on the documents prepared by KTA, all payments will be authorized by the MFE and UNMIK and submitted to the Bank for payment, as per procedure to be agreed with the Bank. The KTA will prepare all the relevant documents in support of applications for withdrawal and obtain the required clearances and coordinate very closely with the MFE. For expenditure incurred to meet the project incremental

operating costs, disbursement will be made through Statement of Expenditure (SOE) procedure of the Bank. Counterpart contributions, if any, will be made from Kosovo Consolidated Budget. UNMIK will hire auditors, satisfactory to the Bank, for auditing the project accounts, including SOEs. The cost of audit will be paid through the Grant proceeds.

The feasibility report for the transmission interconnection is likely to take at least eight to ten months, though other reports can be finalized sooner. However, the transmission feasibility may require more time if the field survey of more than 200 kilometer long route is affected by adverse weather conditions in winter and unforeseen developments in security situation. Therefore, a project implementation period of period of eighteen months is proposed with June 2005 as the closing date.

D. Project Rationale

1. Project alternatives considered and reasons for rejection:

The utility is operating in a survival mode and due to several years of neglect of maintenance it is now focussing on rehabilitation of the system. Due to a recent fire accident at the Kosovo B thermal generation plant, even the budgetary assistance meant for investment had to be diverted to pay for import of electricity and repairing the damage. Investments required for FY 2003, including deferred investments, are about Euro 100 million. One of the alternatives for use of the proposed Grant would be to finance physical rehabilitation but this option was rejected since the available money (US$ 1.5 million) is too small relative to the total requirements to have much of an impact.

Due to preoccupation of the utility and the Government with the day to day operations and dealing with the crisis situation, exacerbated by the accidents at its biggest and the best generating plant and a large coal mine, little work can be done by them on long term strategic issues. In addition, other donors are also providing only limited assistance to address strategic issues. UNMIK has sought Bank's help to put the sector on a more sustainable path on the basis of its experience in the region and world wide. Therefore, the use of limited grant funds for high priority technical assistance is the preferred alternative.

Several areas such as energy policy, taxation on oil and gas (which is leading to distortion in fuel choices for heating), sector restructuring, preparation of distribution master plan, power plant efficiency, energy savings in district heating, rehabilitation of coal mines and reclamation of dump areas of mines, plan for fighting coal mine fire, renewable energy potential, were considered as candidates for technical assistance. However to get the "biggest impact of the development dollars" technical assistance is focussed on optimization of resources on a regional basis. As explained in detail in section B-3, a 400 kV interconnection between Kosovo and Albania would not only benefit these two systems but also strengthen the regional electricity market. Therefore the choice of a technical assistance program that would help create necessary technical, commercial, and institutional capacity in the utility to foster evolution of regional electricity market and help optimize utilization of resources available to the constituent systems of the region.

The recommended option is to provide technical assistance to prepare a detailed feasibility report for a 400 kV interconnection between Kosovo and Albania; develop optimal terms of power trading with neighboring systems; establish a dispatch center in Kosovo; and assist in preparing a framework for attracting private investment.

2. Major related projects financed by the Bank and/or other development agencies (completed, ongoing and planned).

Sector Issue	Project	Latest Supervision (PSR) Ratings (Bank-financed projects only)	
		Implementation Progress (IP)	Development Objective (DO)
Bank-financed			
Completed: Development of long term strategy for energy sector.	Energy Sector Technical Assistance Project	S	S
Other development agencies			
Power generation	Germany (BMZ, KfW): spare parts and consultancy for Kosovo A3, A4 and A5. Germany (BMZ, GTZ): supply of small-scale generating units. Sweden: equipment and repairs at Kosovo A and B.		
Power transmission.	Denmark: repair of 400 kV, 220 kV and 110 kV lines. Norway: repair of 400 kV lines. United Kingdom: supply of vehicles. Supply of equipment and repairs by: Denmark, EC (EAR), France, Germany, Japan, Norway, Spain, Sweden, Swirzerland, United Kingdom, United States.		
Power sector institutional support	Germany (BMZ, GTZ, KfW): capacity building, feasibility study of extending life of Kosovo A3-A5. United States: training, establishment of financial management systems. SIDA: Management and Technical support to KEK.		

I P/DO Ratings: HS (Highly Satisfactory), S (Satisfactory), U (Unsatisfactory), HU Highly Unsatisfactory)

3. Lessons learned and reflected in the project design:

Experience with Bank-financed or Bank-managed technical assistance in other countries points to a need for careful and realistic planning of the technical assistance and close monitoring of the consultants in order to ensure that the tasks are completed on schedule. In the course of implementation of ESTAP-I, mechanisms for close coordination with various functional departments of UNMIK, KTA, the utility, several donors active in energy sector in Kosovo, and the civic society have been established. The Bank's involvement in drafting clear and comprehensive Terms of Reference, proposing realistic schedules, interim review of consultant's work with counterparts, and coordination with donors was found to be necessary for timely implementation of the recently completed technical assistance project. The Bank will therefore be closely involved in implementation of the proposed project.

To avoid delays in implementation, the activities for selection of consultants will be carried out in parallel with project processing.

In order to ensure that the technical assistance takes full account of conditions in Kosovo, and that the results and recommendations are acceptable to the Recipient and the beneficiaries, representatives of UNMIK, KTA, PISG, and KEK will be actively involved in all stages of the project. Close involvement of KEK with the consultants will help provide on the job training to the counterpart staff.

4. Indications of recipient commitment and ownership

UNMIK, KTA, Supervisory Board and the senior management of KEK were fully involved in finalization and presentation to the civic society and to the donor community, of the findings and recommendations of the consultants engaged for energy sector study. A "Green Paper", which is a precursor of the strategy and policy paper has been issued for public consultation. Regarding Kosovo-Albania interconnection, commitment of the Government of Albania, UNMIK, and the PISG has been stated in various public fora. A recent energy sector study (January 2003) of Albania has also recommended Albania-Kosovo transmission interconnection as a prioirty investment. A proposal for investment in the proposed transmission line has been included in the Stability Pact investment program for the region.

5. Value added of Bank support in this project:

The Bank has extensive experience in supervising and monitoring studies and technical assistance on the same topics in other transition countries, including in the Balkans. The Bank's close involvement in ESTAP-I, though effort intensive, has created institutional knowledge, has established its donor coordination role and is looked upon for bringing domain knowledge and long term view of the strategic sector issues in the region as well as in Kosovo. This experience would enable the Bank to provide useful advice during the phases of finalization of the terms of reference, selection of the consultants, carrying out of the studies, and implementation of the results. The Bank's involvement in the project would also help to attract well-qualified firms as bidders and help ensure that they prepare sound proposals.

E. Summary Project Analysis (Detailed assessments are in the project file, see Annex 8)

1. Economic (see Annex 4):

○ Cost benefit NPV=US$ million; ERR = % (see Annex 4)

○ Cost effectiveness

● Other (specify)

Formal cost/benefit analyses are normally not done for technical assistance activities. An economic evaluation of the three proposed studies is not planned to be carried out because of the difficulty of

measuring and separating out the benefits of the information provided by the studies from the overall expected benefits of the projects that would make use of the study results.

2. Financial (see Annex 4 and Annex 5):

NPV=US$ million; FRR = % (see Annex 4)

KEK will depend for several more years on subsidies to partially meet its operating costs, and on budgetary support for meeting its investment needs. The recent fire accident due to lightning strike at the Kosovo B generation plant (which is the mainstay of their generation) and the accident at Bardh coal mine, have affected adversely the recent trend of improvement in financial performance of KEK. As against electricity exports worth over Euro 10 million in the period prior to the fire in July, KEK had to import electricity worth about Euro 20 million during CY 2002. KEK restricted imports to the extent of the budgetary allocation made for the purpose and imposed supply restrictions to contain its financial losses. Plans, to be launched in summer, have been made for controlling theft and improving billing and collection.

SwedPower/KEK are in the process of preparing a medium term business plan for KEK, and establishing systems for providing financial information to the senior management of KEK. During the project processing, there would be no analysis of the financial performance of KEK. However during the implementation of the project, financial performance of KEK will be monitored.

Fiscal Impact:

N.A.

3. Technical:

No technical issues are anticipated.

4. Institutional:

4.1 Executing agencies:

One of the executing agencies would be the Energy Office of UNMIK which has the responsibility for defining and implementing sector policies and long term strategy for its development. The other would be KTA, which has the responsibility for the management oversight of the public utilities in Kosovo, including the power company, and will implement the components related to the transmission interconnection and the dispatch center.

4.2 Project management:

The project would be managed by KTA and the Energy Office of UNMIK, who will be responsible for selection of the consultants in accordance with Bank guidelines, supervision of their work, evaluation of results of the technical assistance, assistance in disbursements, and preparation of follow-up actions. KEK will be fully involved in the studies and will coordinate with its Albanian counterpart KESH.

For the private sector policy component, a counterpart team will be led by the Head of Energy Office (UNMIK) and include the Senior Economic Advisor (UNMIK), the Head of Central Regulatory Unit (UNMIK) and the Director, Private Sector Development (PISG) as members. For the other two components, KTA and KEK have taken decision on the structure and skill requirements for the counterpart teams for which technically qualified staff will be drawn from KEK. Each of these teams will be headed by a senior manager from the relevant department of KEK and have three more members experienced in technical, telecommunication, and commercial matters. UNMIK has received a

commitment from the Government of Albania and its power utility KESH to provide data, support for field survey, and availability of counterparts for discussion.

4.3 Procurement issues:

There will be a maximum of three consultancy contracts. The procedure for selection of the consultants would be in accordance with the Quality and Cost-Based Selection (QCBS) procedure. The requests for proposals would be issued during project preparation, and the proposals received and evaluated before project approval, so that the contract could be awarded shortly thereafter. The evaluation teams will include representatives of the Energy Office, KTA, KEK, and the Central Procurement Entity. KTA uses Bank's procurement procedures even for investments funded from the Kosovo Consolidated Budget and has staff trained in the Bank's procurement procedures.

4.4 Financial management issues:

No Country Financial Accountability Assessment (CFAA) has been carried out for Kosovo, although a customized CFAA is planned in FY 2004. The Ministry of Economy and Finance (MFE) under the auspices of the UNMIK carries out public finance management in Kosovo. These activities were formerly carried out by the CFA, and were mostly transferred to the MFE as of December 31, 2002. To ensure that expenditures are consistent with the amounts and purposes set out in the Kosovo Consolidated Budget, and to prevent abuse and fraud, explicit administrative instructions and procedures have been developed by the MFE, which have to be followed in the commitment and expenditure of public money. Policies and procedures have been reviewed and found acceptable to the Bank. Financial management review of the projects administered by the MFE has been satisfactory and no issues have been identified. Experience gained so far has been factored into the design of the Energy Sector Technical Assistance Project-II project financial management arrangements.

A review of the Financial Management arrangements for the project was undertaken in February 2003 to determine whether the financial management arrangements within the MFE are acceptable to the Bank. This system is capable of providing accurate and timely information regarding project resources and expenditures, including planning, procurement accounting and financial reporting. The project chart of accounts has been entered into the Free Balance System maintained by the MFE, and the project meets the Bank's minimum financial management requirements.

5. Environmental: Environmental Category: C (Not Required)

5.1 Summarize the steps undertaken for environmental assessment and EMP preparation (including consultation and disclosure) and the significant issues and their treatment emerging from this analysis.

No environmental issues are anticipated. The consultant's terms of reference for the feasibility study of the transmission line will include evaluation of possible environmental impact of each of the alternatives to be studied, and suggest inclusion of environmental safeguards and public consultation while implementing the selected alternative.

5.2 What are the main features of the EMP and are they adequate?

Not applicable.

5.3 For Category A and B projects, timeline and status of EA:

Date of receipt of final draft: Not applicable

5.4 How have stakeholders been consulted at the stage of (a) environmental screening and (b) draft EA report on the environmental impacts and proposed environment management plan? Describe mechanisms of consultation that were used and which groups were consulted?

Not applicable

5.5 What mechanisms have been established to monitor and evaluate the impact of the project on the environment? Do the indicators reflect the objectives and results of the EMP?

Not applicable

6. Social:

6.1 Summarize key social issues relevant to the project objectives, and specify the project's social development outcomes.

The detailed feasibility study for transmission line will include an assessment of possible social impact in case any land needs to be acquired for the related sub-station, transmission towers, and the right of way. These issues will be included in the consideration and evaluation of options. The land acquisition procedures will be reviewed. A rigorous assessment of social impacts would be required when detailed route planning and technical design is prepared for implementation.

6.2 Participatory Approach: How are key stakeholders participating in the project?

The key stakeholders would be the UNMIK (Energy Office in particular), KTA, and KEK. They all participated in the project preparation, would work directly with the consultants throughout the project implementation period, and provide most of the data needed for the project. Assurance has been received by UNMIK and the PISG from the Government of Albania for its participation and for support in conducting the feasibility study for the transmission line.

6.3 How does the project involve consultations or collaboration with NGOs or other civil society organizations?

While making an assessment of social impact as part of feasibility study, the consultants would be required to consult with the local population and with the civic society representatives.

6.4 What institutional arrangements have been provided to ensure the project achieves its social development outcomes?

There are no direct social development outcomes of feasibility reports and institutional development of the power utility.

6.5 How will the project monitor performance in terms of social development outcomes?

No monitoring mechanisms are proposed in view of what is stated in the preceding section.

7. Safeguard Policies:

7.1 Are any of the following safeguard policies triggered by the project?

Policy	Triggered
Environmental Assessment (OP 4.01, BP 4.01, GP 4.01)	● Yes ○ No
Natural Habitats (OP 4.04, BP 4.04, GP 4.04)	○ Yes ● No
Forestry (OP 4.36, GP 4.36)	○ Yes ● No
Pest Management (OP 4.09)	○ Yes ● No
Cultural Property (OPN 11.03)	○ Yes ● No
Indigenous Peoples (OD 4.20)	○ Yes ● No
Involuntary Resettlement (OP/BP 4.12)	○ Yes ● No
Safety of Dams (OP 4.37, BP 4.37)	○ Yes ● No
Projects in International Waters (OP 7.50, BP 7.50, GP 7.50)	○ Yes ● No
Projects in Disputed Areas (OP 7.60, BP 7.60, GP 7.60)*	○ Yes ● No

7.2 Describe provisions made by the project to ensure compliance with applicable safeguard policies.

F. Sustainability and Risks

1. Sustainability:

Sustainability of the technical assistance require that the recommendations and training provided under the project is effectively used. Detailed feasibility reports for the transmission and for the dispatch center will help mobilize financing for these investments, if political stability and economic recovery continues.

2. Critical Risks (reflecting the failure of critical assumptions found in the fourth column of Annex 1):

Risk	Risk Rating	Risk Mitigation Measure
From Outputs to Objective		
Regional Interconnection Component: Lack of data on power exchange, and sector development plans of neighboring systems; implementation not in accordance with contract provisions	M	Adequate data is available on power exchange, through several regional studies, but not on sector development plans of neighboring systems. Close coordination with Albania and with the donors funding investments of the neighboring utilities is being ensured for exchange of relevant information. Standard Bank contracts will be used for monitoring performance of the Consultants
Dispatch Center Project Component: Same as above	M	Same as above
Private Sector Participation Policy Component: Implementation not in accordance with contract provisions	M	Standard Bank contracts will be used for monitoring performance of the Consultants
From Components to Outputs		

All Components: Not selecting competent consultants and delay in award of contract, non-availability of counterpart teams	M	Bank's procurement procedure will be used. The implementing agencies have developed capacity to solicit, evaluate, and select consultants using Bank's procurement guidelines; Counterpart team has been formed for component-III, for other two components availability of counterpart teams will be ensured before mobilization of the consultants.
Regional Interconnection Component: Lack of support from the Government of Albania and its power utility KESH for feasibility study of the transmission interconnection	M	The Government of Albania, UNMIK, and PISG have publicly stated, on several occasions, their strong support for the transmission line. A written communication from the Government of Albania expressing its interest and support for the study has been obtained.
Overall Risk Rating	M	

Risk Rating - H (High Risk), S (Substantial Risk), M (Modest Risk), N(Negligible or Low Risk)

3. Possible Controversial Aspects:

None

G. Main Loan Conditions

1. Effectiveness Condition

The standard Bank requirements, and submission by UNMIK of legal opinion on the agreements executed by the Recipient and the executing agencies, shall apply.

2. Other [classify according to covenant types used in the Legal Agreements.]

- The MFE to have the project records, accounts and financial statements audited each year, commencing with the accounts for the year ending December 31, 2003.
- The MFE to maintain financial management arrangements satisfactory to the Bank.

H. Readiness for Implementation

☐ 1. a) The engineering design documents for the first year's activities are complete and ready for the start of project implementation.
☐ 1. b) Not applicable.

☐ 2. The procurement documents for the first year's activities are complete and ready for the start of project implementation.
☐ 3. The Project Implementation Plan has been appraised and found to be realistic and of satisfactory quality.
☐ 4. The following items are lacking and are discussed under loan conditions (Section G):

I. Compliance with Bank Policies

☒ 1. This project complies with all applicable Bank policies.
☐ 2. The following exceptions to Bank policies are recommended for approval. The project complies with all other applicable Bank policies.

Mohinder P. Gulati	Henk Busz	Orsalia Kalantzopoulos
Team Leader	**Sector Manager/Director**	**Country Manager/Director**

Annex 1: Project Design Summary

KOSOVO: Energy Sector Technical Assistance Project II

Hierarchy of Objectives	Key Performance Indicators	Data Collection Strategy	Critical Assumptions
Sector-related CAS Goal: Support long-term strategy for putting the sector on a sustainable path	**Sector Indicators:** Detailed reports on feasibility of priority investments and exchange of power with neighboring systems accepted	**Sector/ country reports:** Implementation review reports, and periodic progress reports	**(from Goal to Bank Mission)** Willingness of the key decision makers to implement the priority investments and of the neighboring utilities to negotiate satisfactory commercial arrangements.
Project Development Objective: Assist in (i) developing capacity for a commercially sustainable exchange of power with the regional system, and optimizing utilization of existing generation capacity through economic dispatch; and (ii) developing a framework for attracting private sector investment in the energy sector	**Outcome / Impact Indicators:** Acceptance of final reports and negotiation/ solicitation documents; Improved terms of power exchange; Strong interest by potential donors/lenders in financing transmission line and the dispatch center.	**Project reports:** Implementation review reports, and periodic progress reports	**(from Objective to Goal)** Effective implementation review and participation of the recipient

Hierarchy of Objectives	Key Performance Indicators	Data Collection Strategy	Critical Assumptions
Output from each Component:	**Output Indicators:**	**Project reports:**	**(from Outputs to Objective)**
Regional Interconnection Component: Prepared a detailed feasibility report for a 400 kV transmission interconnection and a report describing the best arrangement of power exchange with neighboring systems.	Satisfactory feasibility report acceptable to the client	Implementation review reports, periodic progress reports, final feasibility report for the transmission line and report for terms of power exchange	Availability of data on power exchange, and sector development plans of neighboring systems; implementation in accordance with contract provisions
Dispatch Center Project Component: Prepared a bankable project report for submission to the lenders/donors and technical documentation for inviting proposals for establishment of a dispatch center.	Satisfactory project report and solicitation documents	Implementation review reports, periodic progress reports, and final set of documents	Implementation in accordance with contract provisions
Private Sector Participation Policy Component: Framework report prepared for attracting private investment in energy sector, identifying issues and recommending options, and an action plan for addressing these issues	Satisfactory report and acceptance of action plan	Implementation review reports, periodic progress reports, and final report	Implementation in accordance with contract provisions; availability of counterparts for discussing the issues and options

Hierarchy of Objectives	Key Performance Indicators	Data Collection Strategy	Critical Assumptions
Project Components / Sub-components:	**Inputs: (budget for each component)**	**Project reports:**	**(from Components to Outputs)**
Regional Interconnection Component: Prepare a detailed feasibility report for a 400 kV connection between Kosovo B and Kashar (Albania), and assistance in developing terms of exchange of power with the neighboring systems	US$ 0.85 million	Implementation review reports and progress reports	Selection of competent consultants and prompt award of contract; Support from Government of Albania and its power utility, KESH.
Dispatch Center Project Component: Develop for submission to potential lenders and donors a bankable project with technical specifications, financial and economic evaluation, cost estimates and financing plan, and institutional arrangements for implementation and operation of a dispatch center	US$ 0.25 million	Implementation review reports and progress reports	Selection of competent consultants and prompt award of contract
Private Sector Participation Policy Component: Prepare a policy, legal, regulatory, and institutional framework for private investment in the energy sector	US$ 0.35 million	Implementation review reports and progress reports	Selection of competent consultants and prompt award of contract, formation of an inter-departmental counterpart team for the assignment

Annex 2: Detailed Project Description
KOSOVO: Energy Sector Technical Assistance Project II

By Component:

Project Component 1 - US$0.85 million

Regional Interconnection Component

The main tasks to be carried out by the consultants are:

TASK A: Feasibility study for a transmission interconnection between Kosovo and Albania

- Carrying out network studies (load flow, short circuit, stability, insulation, etc.), to demonstrate network conditions after the 1st and the 2nd synchronous zones of UCTE are re-interconnected, and with special attention to the following scenarios:
  - * after the subject interconnection Project (Kosovo B – Kashar) is implemented and without the Podgorica-Elbasan line;
  - * after the Podgorica-Elbasan line is implemented and without the Kosovo B – Kashar line;
  - * after both above lines with Montenegro and Albania are implemented;
  - * after all three lines under consideration are implemented (i.e. including the proposed 400 kV line with FYROM and further 400 kV connection between Skopje (FYROM) and Nis (Serbia))

  All simulations should be done for the time horizon until 2020 and under various dispatch scenarios of the KESH and the KEK system, respectively;

- The proposed 400 kV interconnection between Kosovo and Albania should meet present and future exchange of power between KEK and KESH as well as anticipated transits in the North-South corridor. In this regard, the consultants will:

(a) review existing reports related to the Project; and submit the analysis and results.
(b) review electric power demand forecast related to the proposed Project, and submit the analysis and results;
(c) review and update, if necessary, electric power exchange forecast scenarios Including but not limited to reports of KfW, EKC, and SECI . between Kosovo and Albania related to the proposed Project, and submit the analysis and results;
(d) review basic parameters listed under Section 3, Description of the Project, and submit the analysis and results.

- Definition of the characteristics of the line components (conductor, insulators, optic fibre ground wire, etc,) and of the substations.

- Technical-economic comparison of the following variants: single circuit, a double circuit with one circuit strung initially, and a double circuit with both strung initially taking into account the future power transfer needs between the two systems.

- Identification of network constraints that may hinder Kosovo's integration into the regional electricity market and optimal power transfer in the interconnected system and propose remedial

measures to said constraints,.

- Routing of the line, in alternatives if applicable, including topographic survey in Kosovo and Albania.

- Determining amounts of transfer on the proposed Project under existing networks conditions and by taking into account power generation development plans of Kosovo and Albania. Simulation of export oriented additional power generation capacities of possible independent power producers in line with draft White paper of Kosovo should be also modeled. However, only realistic power exchanges should serve as a basis for design of the subject interconnection line.

- Measures that are required to be implemented to allow transfer to full optimized interconnector capacity.

- Propose principles and develop a model for an interconnection agreement/arrangements between KEK and KESH and for the tariff(s) to be adopted for the interchange of power.

- Operation and maintenance of the interconnection and mutual obligations of KEK and KESH.

- Functional/preliminary design and engineering, of the line and substations, including communication requirements.

- Prepare design memoranda/brief of the Project.

- Detailed quantity and cost estimate with breakdown in local and foreign (EURO) currencies and interest during construction (maintenance equipment should be included). The cost estimate should be prepared on the basis of prevailing prices and latest tendered unit prices for similar works at the time of preparation of the estimate. The reference price level, currencies and exchange rates and their reference period, physical and price contingencies and basis thereof should also be furnished.

- Economic analysis of the Project, including direct and indirect benefits for Kosovo and Albania, in quantitative and qualitative terms, resulting from bilateral electricity exchange under different scenarios and revenues from transit fees from third parties

- Development of cross border trade rules and transparent interconnection capacity allocation method between Kosovo and Albania and for any third party access.

- Financial analysis of the proposed transmission scheme, including proposed Project financing plan, and financial projections for KEK (source and application of funds, income and expenditure statement, and balance sheet). The financial projections shall be prepared for each year from the beginning of project construction to five years after its commissioning.

- Detailed implementation strategy for the interconnection.

- Implementation schedule covering following tasks: procurement strategy, schedule of procurement actions up to award of contracts, period of preparation of bidding documents per package/lot, detailed construction activities up to testing and commissioning.

- Identification of critical factors that could affect Project implementation and success, and

assessment of the Project's sensitivity to them.

TASK B: Terms of exchange of power with the neighboring utilities

The main tasks of the consultants shall be:

- review and comment among others on the following:

(a) the present and near term loads and supply resources in Kosovo, including the operating characteristics of the generating units;
(b) after including applicable transit costs, the most cost effective generating resources available outside of Kosovo and on a regional basis, regarding which there may be physical power exchanges or other transactions, such as power purchases;
(c) the power requirements of entities outside Kosovo that may become customers of power from Kosovo;
(d) the existing commercial arrangements, including matters related to the creditworthiness of contracting parties, as well as reasonably likely changes to such arrangements;

- define and describe the transactions, including coordinated dispatch, and contractual arrangements that might be beneficial to Kosovo at present and in the near term;

- define and describe the key contractual principles for the various types of transactions;

- define and describe the risks that may be present in the different types of transactions;

- define heads of terms of an illustrative contract for exchange of power, and provide some samples of similar contracts;

- discuss methods for evaluating contracts as part of the overall supply planning strategy;

- discuss the development within KEK of a team that would be responsible for identifying the possible transactions, analyzing the possibilities, and finalizing the contracts.

- define the institutional arrangements to be implemented for carrying out power exchange. These arrangements include organizational structure, functions, responsibilities, staffing, staff training including visits to electric utilities with recognized power exchange practices, budget, and reporting requirements.

Project Component 2 - US$0.25 million

Dispatch Center Project Component

The main tasks of the consultants shall be:

- review the existing reports related to the Project, and submit the analysis and results.
- comparison of the SCADA/EMS with power line carrier communication network with SCADA/EMS with optic fiber communication network, and submit analysis and results.
- detailed definition of SCADA/EMS, Communication Network and RTUs to be implemented under each stage for the KCS and EKCS (refer to the Power Dispatch System Plan Report, Module E).
- define the procurement packages for the works to be undertaken in accordance with the program of implementation of project (one stage or phased).
- assist in final selection from among the technical alternatives proposed by ESTAP-I consultants

and finalize the technical specifications (with reference to the Power Dispatch System Plan Report of ESTAP-I study). The technical specifications will have to take into account the commercial agreements for the optimal exchange of power with neighboring country systems and monitoring of exchange of power in relation to the commercial agreements for the purpose of settlement of accounts between trading partners. The technical specifications will also include the software requirements for such purpose. The Consultant should assess the requirements in consultation with the consultants engaged for developing the terms of power exchange.

- detailed quantity and cost estimate with breakdown in local and foreign currencies and interest during construction for the total project and for each stage. The cost estimate should be prepared on the basis of prevailing prices and the latest tendered unit prices for similar works at the time of preparation of the estimate. The reference price level, currencies and exchange rates and their reference period, physical and price contingencies and basis thereof should also be furnished.
- economic analysis of the project.
- financial analysis of the project, including proposed project financing plan, and financial projections for KEK (source and application of funds, income and expenditure statement, and balance sheet). The financial projections shall be prepared for each year from the beginning of project construction to five years after its commissioning.
- implementation schedule including procurement strategy (two-stage bidding, one turnkey package under single responsibility) and schedule of procurement actions up to award of contracts, preparation of bidding documents, detailed construction activities, testing and commissioning, and arrangements for these tasks, prepare complete bidding documents excluding commercial terms.
- definition of the institutional arrangements to be implemented for the proper operation of the KCS and EKCS. These arrangements include organizational structure, functions, responsibilities, staffing, staff training, budget, and reporting requirements required to ensure reliable and secure integrated grid operation and for achieving economic and efficiency in the operation of the national system.
- identification of critical factors that could affect project implementation and success, and assessment of the project's sensitivity to them.

Project Component 3 - US$ 0.35 million

Private Sector Participation Policy Component

The main task of the consultants shall be to review the existing policy, legislative, regulatory, and institutional framework governing private investment in Kosovo with the aim to identify bottlenecks from the perspective of foreign private investment in energy sector, suggest alternatives and recommend an action plan to address the issues identified through the review. The detailed terms of reference are currently under preparation and will be reviewed with the assistance of Bank's PSD specialists. The TORs will include at a minimum, a review of foreign investment regime in Kosovo (applicable law, business registration, currency regime and profit repatriation, energy trading); access to international finance and guarantees; applicable investment protection treaties; ownership of property, laws relating to securing of obligations, concessions and leases; energy sector regulation, licensing, regulatory institution; labor laws affecting foreign private investment; dispute resolution systems; taxation (export/ import duties, VAT, presumptive and profit taxes, personal income tax etc., municipal taxes, royalties); and applicable environmental regulation etc.

Annex 3: Estimated Project Costs

KOSOVO: Energy Sector Technical Assistance Project II

Project Cost By Component	Local US $million	Foreign US $million	Total US $million
Regional Interconnection Component: Feasibility study for a Kosovo-Albania transmission interconnection and terms of exchange of power	0.00	0.85	0.85
Dispatch Center Project Component: Preparation of a bankable project for the dispatch center	0.00	0.25	0.25
Private Sector Participation Policy Component: Framework for private investment in energy sector	0.00	0.35	0.35
Incremental Cost (project audit cost)	0.00	0.05	0.05
Total Baseline Cost	0.00	1.50	1.50
Physical Contingencies	0.00	0.00	0.00
Price Contingencies	0.00	0.00	0.00
Total Project Costs[1]	0.00	1.50	1.50
Total Financing Required	0.00	1.50	1.50

Project Cost By Category	Local US $million	Foreign US $million	Total US $million
Goods	0.00	0.00	0.00
Works	0.00	0.00	0.00
Services	0.00	1.50	1.50
Training	0.00	0.00	0.00
Total Project Costs[1]	0.00	1.50	1.50
Total Financing Required	0.00	1.50	1.50

[1] Identifiable taxes and duties are 0 (US$m) and the total project cost, net of taxes, is 1.5 (US$m). Therefore, the project cost sharing ratio is 0% of total project cost net of taxes.

Annex 4Cost Benefit Analysis Summary, or Cost-Effectiveness Analysis Summary
KOSOVO: Energy Sector Technical Assistance Project II

Not Applicable

Annex 5: Financial Summary
KOSOVO: Energy Sector Technical Assistance Project II

	IMPLEMENTATION PERIOD						
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Total Financing Required							
Project Costs							
Investment Costs	1.0	0.5	0.0	0.0	0.0	0.0	0.0
Recurrent Costs	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Project Costs	1.0	0.5	0.0	0.0	0.0	0.0	0.0
Total Financing	1.0	0.5	0.0	0.0	0.0	0.0	0.0
Financing							
IBRD/IDA	1.0	0.5	0.0	0.0	0.0	0.0	0.0
Total Project Financing	1.0	0.5	0.0	0.0	0.0	0.0	0.0

Main assumptions:

Annex 6(A): Procurement Arrangements
KOSOVO: Energy Sector Technical Assistance Project II

Procurement

Procurement will comprise of three consulting contracts and a contract with an auditor. Kosovo Trust Agency will carry out the procurement in accordance with the Bank procurement guidelines. The project components not financed by the Bank would be procured in accordance with the national regulations or the co-financing institutions procurement regulations. The estimated cost is summarized in Tables A and A1 of Annex 6. A procurement plan is presented in Table C of Annex 6. All other procurement information is presented in Table B of Annex 6.

Procurement methods (Table A)

The consulting firms will be selected and contracted in accordance with the Guidelines (Guidelines: Selection and Employment of Consultants by World Bank Borrowers, January 1997, September 1997 and January 1999, and May 2002). The Quality-and-Cost-Based Selection Method shall be used in the selection of firms.

The invitation of expression of interest for consulting firms shall be published in the Development Business of the United Nations.

The process of procurement will be conducted by KTA (procurement unit in Finance department) with the assistance of Evaluation Committees (for shortlist, evaluation of technical and financial proposals). The contracts will be reviewed by Office of Legal Advisor of UNMIK, and signed by UNMIK (Deputy Special Representative of the Secretary General). Furthermore, KTA has staff who handle procurement for all projects financed by donors or through the Kosovo Consolidated Budget. They follow the World Bank procedures. In addition, the person who will handle TA project, has attended the Bank's training program in procurement and is familiar with guidelines for procurement of consultants. In the Energy Division of KTA also, the Manager and the staff who will handle this project are the same staff who handled ESTAP-I. Based on this, the procurement-related risk is considered low.

Table A: Project Costs by Procurement Arrangements
(US$ million equivalent)

Expenditure Category	Procurement Method[1]				Total Cost
	ICB	NCB	Other[2]	N.B.F.	
1. Works	0.00	0.00	0.00	0.00	0.00
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)
2. Goods	0.00	0.00	0.00	0.00	0.00
	(0.00)	(0.00)	(0.00)	(0.00)	(0.00)
3. Services	0.00	0.00	1.47	0.00	1.47
	(0.00)	(0.00)	(1.47)	(0.00)	(1.47)
4. Miscellaneous	0.00	0.00	0.03	0.00	0.03
Incremental Operating Costs	(0.00)	(0.00)	(0.03)	(0.00)	(0.03)
Total	0.00	0.00	1.50	0.00	1.50
	(0.00)	(0.00)	(1.50)	(0.00)	(1.50)

[1/] Figures in parentheses are the amounts to be financed by the Bank Grant. All costs include contingencies.

[2/] Includes civil works and goods to be procured through national shopping, consulting services, services of contracted staff of the project management office, training, technical assistance services, and incremental operating costs related

to (i) managing the project, and (ii) re-lending project funds to local government units.

Table A1: Consultant Selection Arrangements (optional)
(US$ million equivalent)

Consultant Services Expenditure Category	Selection Method							
	QCBS	QBS	SFB	LCS	CQ	Other	N.B.F.	Total Cost[1]
A. Firms	1.45 (1.45)	0.00 (0.00)	0.00 (0.00)	0.02 (0.02)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	1.47 (1.47)
B. Individuals	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)
Total	1.45 (1.45)	0.00 (0.00)	0.00 (0.00)	0.02 (0.02)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	1.47 (1.47)

[1] Including contingencies

Note: QCBS = Quality- and Cost-Based Selection
QBS = Quality-based Selection
SFB = Selection under a Fixed Budget
LCS = Least-Cost Selection
CQ = Selection Based on Consultants' Qualifications
Other = Selection of individual consultants (per Section V of Consultants Guidelines), Commercial Practices, etc.
N.B.F. = Not Bank-financed
Figures in parentheses are the amounts to be financed by the Bank Grant.

Prior review thresholds (Table B)

Table B: Thresholds for Procurement Methods and Prior Review[1]

Expenditure Category	Contract Value Threshold (US$ thousands)	Procurement Method	Contracts Subject to Prior Review (US$ millions)
1. Works			
2. Goods			
3. Services	200	QCBS	1.45
4. Miscellaneous			
5. Miscellaneous			
6. Miscellaneous			

Total value of contracts subject to prior review: US$ 1.45 million
Overall Procurement Risk Assessment: **Low**
Frequency of procurement supervision missions proposed: One every 12 months (includes special procurement supervision for post-review/audits)

Procurement staff assigned to the Project: Leonid Vanian, ext. 84796
Retroactive financing: No

Table C: Procurement Plan

1	2	3	4	5	6. Estimated dates				
Description	Type	# of slices/ items/ sub-packages	Estimated cost, US$ thousand	Procurement Method	Prequalification /SL 1.Invitation GPN/SPN/Local 2. Opening 3.Eval &Recom	(BD/RFP) Preparation	Bid 1. Invitation GPN/SPN/Local 2. Opening 3. Eval&Recom Award	Contract signing	Contract Completion
Regional Interconnection Component	CS	1	850	QCBS	04/29/2003 05/16/2003 05/30/2003	05/30/2003	06/02/2003 06/27/2003 07/25/2003	08/02/2003	12/31/2004
Dispatch Center Project Component	CS	1	250	QCBS	05/06/2003 05/23/2003 06/06/2003	06/06/2003	06/09/2003 07/03/2003 08/01/2003	08/09/2003	12/31/2004
Private Sector Participation Policy Component	CS	1	350	QCBS	05/11/2003 05/30/2003 06/13/2003	06/13/2003	06/16/2003 07/10/2003 08/08/2003	08/16/2003	12/31/2004
Audit	CS	1	15	LCS	01/25/2004 02/15/2004 03/01/2004	03/01/2004	03/01/2004 03/31/2004 04/30/2004	05/15/2004	12/31/2004

[1] Thresholds generally differ by country and project. Consult "Assessment of Agency's Capacity to Implement Procurement" and contact the Regional Procurement Adviser for guidance.

Annex 6(B): Financial Management and Disbursement Arrangements
KOSOVO: Energy Sector Technical Assistance Project II

Financial Management

1. Summary of the Financial Management Assessment

1.1 Country Issues.

No Country Financial Accountability Assessment (CFAA) has been carried out for Kosovo, and no CFAA is planned for the near future. The Ministry of Finance and Economy (MFE) under the auspices of the UNMIK carries out public finance management in Kosovo. These activities were formerly carried out by the CFA and were mostly transferred to the MFE as of December 31, 2002. To ensure that expenditures are consistent with the amounts and purposes set out in the Kosovo Consolidated Budget, and to prevent abuse and fraud, explicit administrative instructions and procedures have been developed by the MFE, which have to be followed in the commitment and expenditure of public money. Policies and procedures have been reviewed and found acceptable to the Bank. Financial management review of the projects administered by the MFE has been satisfactory and no issues have been identified. Experience gained so far has been factored into the design of the Energy Sector Technical Assistance Project-II project financial management arrangements.

1.2 Strengths and Weaknesses.

Significant strengths that provide a basis for reliance on the project financial management system include: (a) the experience of implementing Bank financed Grants that the accounting team in the MFE has; and (b) the unqualified audit reports and the positive management letters issued by the auditors on the projects covered by the MFE. No significant weaknesses have been noted.

1.3 Implementing Entity.

The project would be managed by KTA and the Energy Office of UNMIK, who will be responsible for selection of the consultants in accordance with Bank guidelines, supervision of their work, evaluation of results of the technical assistance, assistance in disbursements, and preparation of follow-up actions. KEK will be fully involved in the studies and will coordinate with its Albanian counterpart KESH. Project financial management will continue to be handled by an international financial manager and two assistants located in the MFE. The MFE will be responsible for the financial management and reporting requirements of the project. The MFE has in place a financial management system that is capable of producing project management reports as required by the Bank. This system has already been utilized for other Bank funded projects.

1.4 Funds Flow.

All payments from the IDA Grant will be made directly by the Bank and as a result no special account will be opened. Based on the documents prepared by KTA, all payments will be authorized by the MFE and UNMIK and submitted to the Bank, as per procedures to be agreed with the Bank. KTA will prepare all the relevant documents in support of applications for withdrawal and obtain the required clearances, and coordinate very closely with the MFE. Counterpart contributions, if any, will be made by the KCB. For incremental operating expenditure, SOE procedure will be used and reimbursement claimed from the proceeds of the grant.

1.5 Staffing.

The accountant and Disbursement officers are familiar with financial and accounting systems as well as with Bank requirements. The experienced has been gained through implementation several Bank financed Grants The accountant would be responsible for all aspects of the financial management and accounting, including maintaining books of accounts, reporting day-to-day transactions. She will also be

in charge of the preparing the FMRs.

1.6 Accounting Policies and Procedures.
The MFE will take all necessary steps to ensure that the project complies with the relevant Bank policies (OP/BP 10.02). The MFE procedures and policies have been reviewed by the Bank and found acceptable

1.7 Internal Audit.
Not applicable.

1.8 External Audit.
The MFE will appoint independent auditors under terms of reference acceptable to the Bank. The auditors selected for the Project are required to be both members of an organization that is itself a member of the International Federation of Accountants (IFAC) and also acceptable to the Bank. Audited Project Financial Statements will be submitted to the Bank with the audit report four months after end of each year audited. Costs of the audit will be financed through the project. The audit reports for the Bank financed Grants managed by the MFE have been timely and have received clean opinions. No issues are anticipated.

Audit Report	*Due Date*
Project	June 30, 2004
SOE	June 30, 2004

1.9 Reporting and Monitoring.
The MFE will maintain accounts of the Project and will ensure appropriate accounting of the funds provided. The MFE has been preparing PMRs for several on-going Bank financed projects. These reports have been timely and of good quality. The mission agreed with the MFE to maintain the same reporting formats (for consistency) for this project, although the name would change to FMR. The MFE will be responsible for preparing FMRs on a quarterly basis. The FMRs will include:

- Project Sources and Uses of Funds
- Uses of Funds by Project Activity
- Special Account Statement Plus Local Bank Account Statement
- Project Progress Reporting
- Procurement Reporting

1.10 Information Systems.
The MFE has in place a financial management system acceptable to the Bank. The MFE consolidate payments and receipts of all line ministries and municipalities, through its accounting system. The chart of accounts is based on the GFMIS. As the participants under the project fall under the umbrella of the KCB, all project related payments would be made via the STA, and the accounts would be maintained as part of the MEF's accounting system. The MFE is already producing PMRs for several Bank financed Grants.

1.11 Disbursement Arrangements.
Disbursements from the Grant will consist of direct payments and against Statement of Expenditure for the incremental operating costs and as a result no SA will be opened. The proceeds of the Grant will be allocated in accordance with Table C, Annex 6. The option to move to a FMR based disbursements will not be considered.

1.12 Action Plan

The project chart of accounts will be entered into the Free Balance System.

1.13 Supervision Plan

The reports of the progress of the project implementation will be monitored in detail during supervision missions. FMRs will be reviewed on a quarterly basis by the field based FMS and the results or issues followed up during the supervision missions. Audit reports of the project will be reviewed and issues identified and followed up. The field based FMS would monitor the agreed action plan to ensure appropriate actions have been implemented by the MFE.

2. Audit Arrangements

Kosovo Consolidated Budget and accounts of KTA are audited by external auditors. UNMIK will hire auditors, satisfactory to the Bank, for auditing the project accounts, including SOEs. The cost of audit will be paid through the Grant proceeds.

3. Disbursement Arrangements

Based on the documents prepared by KTA, all payments will be authorized by the MFE and UNMIK and submitted to the Bank. KTA will prepare all the relevant documents in support of applications for withdrawal and obtain the required clearances and coordinate very closely with the MEF. Counterpart contributions, if any, will be made by the KCB. Disbursement for incremental operating costs will be through Statement of Expenses. No Special Account is envisaged.

Allocation of grant proceeds (Table C)

Table C: Allocation of Grant Proceeds

Expenditure Category	Amount in US$million	Financing Percentage
Services (consulting)	1.47	100
Incremental Operating Costs	0.03	100
	0.00	
Total Project Costs with Bank Financing	1.50	
Total	1.50	

The financing percentage indicated in the Table above will be applicable only for foreign consultants. For local consultants, if any, standard disbursement percentage for Kosovo shall be applicable.

Use of statements of expenditures (SOEs):

All incremental operating costs, as approved by the Association on the basis of budgets acceptable to the Association

Special account:

Annex 7: Project Processing Schedule
KOSOVO: Energy Sector Technical Assistance Project II

Project Schedule	Planned	Actual
Time taken to prepare the project (months)	6	
First Bank mission (identification)	09/08/2002	09/08/2002
Appraisal mission departure	04/28/2003	05/05/2003
Negotiations	05/07/2003	05/08/2003
Planned Date of Effectiveness	07/31/2003	

Prepared by:

Preparation assistance:

Bank staff who worked on the project included:

Name	Speciality
Mohinder Gulati	Task Team Leader
Iftikhar Khalil	Lead Energy Specialist
Richard E. Hamilton	Consultants, Economist
Ramon Lopez Rivera	Consultant, Power Engineer
Leonid Vanian	Procurement Specialist
Hiran Herat	Senior Financial Management Specialist
Mark Walker	Lead Counsel
Joseph Formoso	Senior Disbursement Officer
Yolanda Gedse	Program Assistant
Luiz Maurer	Senior Energy Specialist, Peer Reviewer

Annex 8: Documents in the Project File*
KOSOVO: Energy Sector Technical Assistance Project II

A. Project Implementation Plan

Project Implementation Plan dated April 28, 2003

B. Bank Staff Assessments

Financial Management Assessment Report, dated March 23, 2003

C. Other

(i) Energy Sector Technical Assistance Project-I study report, December 2002.
(ii) Additional studies (a) Demand and Supply analyses for the generation plan and potential interconnection network implications in Kosovo until 2020 (November 2002) and (ii) Transmission network strategy (November 2002).
(iii) Background and context for preparation of a long-term energy strategy and policy of Kosovo ("Green Paper") November 2002
(iv) UNMIK's Regulation numbers 2002/12 dated June 13, 2002 on establishment of Kosovo Trust Agency, and 2002/13 dated June 13, 2002 on establishment of a special Chamber of the Supreme Court of Kosovo on Kosovo Trust Agency related matters;

*Including electronic files

Annex 9: Statement of Loans and Credits

KOSOVO: Energy Sector Technical Assistance Project II

26-Mar-2003

Project ID	FY	Purpose	Original Amount in US$ Millions IBRD	IDA	SF	Cancel.	Undisb.	Difference between expected and actual disbursements* Orig	Frm Rev'd
P072405	2002	SOC PROT (KOSOVO TF)	0.00	0.00	4.20	0.00	3.77	2.07	0.00
P072814	2001	COMM DEV FUND (KOSOVO TF)	0.00	0.00	5.00	0.00	1.66	-3.34	0.00
P071265	2001	PSD TA (KOSOVO TF)	0.00	0.00	3.00	0.00	0.76	0.66	0.00
P070365	2001	PILOT WS (KOSOVO TF)	0.00	0.00	4.60	0.00	3.54	-1.06	0.00
P070295	2001	URG ROAD (KOSOVO TF)	0.00	0.00	5.00	0.00	1.15	1.15	0.00
P069629	2001	SME CREDIT (KOSOVO TF)	0.00	0.00	5.00	0.00	0.35	5.44	0.00
P069325	2000	EMG FARM RECONSTRUCTION (KOSOVO TF)	0.00	0.00	10.00	0.00	0.41	-3.69	0.41
P069516	2000	EDUC/HEALTH (KOSOVO TF)	0.00	0.00	4.44	0.00	0.98	-0.19	0.00
		Total:	0.00	0.00	41.24	0.00	12.63	1.05	0.41

KOSOVO
STATEMENT OF IFC's
Held and Disbursed Portfolio
Jun 30 - 2002
In Millions US Dollars

		Committed				Disbursed			
		IFC				IFC			
FY Approval	Company	Loan	Equity	Quasi	Partic	Loan	Equity	Quasi	Partic
	Total Portfolio:	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

		Approvals Pending Commitment			
FY Approval	Company	Loan	Equity	Quasi	Partic
	Total Pending Commitment:	0.00	0.00	0.00	0.00

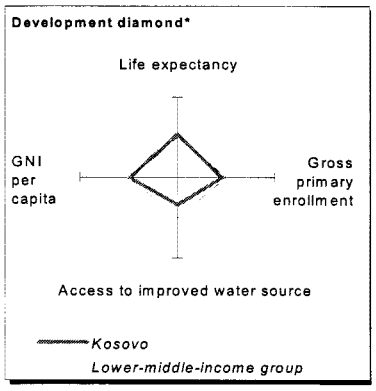
Annex 10: Country at a Glance

KOSOVO: Energy Sector Technical Assistance Project II

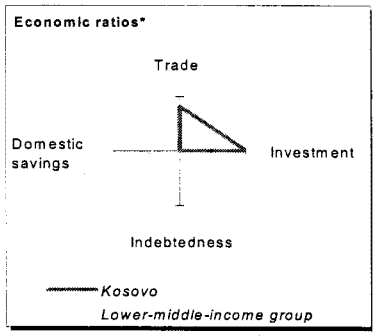
Kosovo at a glance

4/4/03

POVERTY and SOCIAL	Kosovo SAM	Europe & Central Asia	Lower-middle-income
2001			
Population, mid-year *(millions)*	2	475	2,164
GNP per capita	1,217	1,960	1,240
GNP	2.4	930	2,677
Average annual growth, 1995-01			
Population *(%)*	..	0.1	1.0
Labor force *(%)*	..	0.6	1.2
Most recent estimate (latest year available, 1995-01)			
Poverty *(% of population below national poverty line)* 1/	50	..	..
Urban population *(% of total population)*	37	63	46
Life expectancy at birth *(years)*	74	69	69
Infant mortality *(per 1,000 live births)*	35	20	33
Child malnutrition *(% of children under 5)*	..	..	11
Access to an improved water source *(% of population)*	54	90	80
Illiteracy *(% of population age 15+)*	7	3	15
Gross primary enrollment *(% of school-age population)*	97	102	107
Male	98	103	107
Female	96	101	107



KEY ECONOMIC RATIOS and LONG-TERM TRENDS		2000	2001
GDP *(Euro € millions)*		1,414	1,747
Gross domestic investment/GDP		68	54
Exports of goods and services/GDP		10	13
Gross domestic savings/GDP			
Gross national savings/GDP		..	
Current account balance/GDP		5.87	9.10
Interest payments/GDP			
Total debt/GDP		0.0	
Total debt service/exports 2/			
Present value of debt/GDP		..	..
Present value of debt/exports		..	..
	2000	**2001**	**2001-05**
(average annual growth)			
GDP	..	23.6	6.5
GDP per capita	..	18.4	
Exports of goods and services		56.1	



STRUCTURE of the ECONOMY	1988	1996	2000	2001
(% of GDP)				
Agriculture	20.4	28.8	..	..
Industry	47.4	33.8	..	..
Manufacturing	..		..	..
Services	32.2	37.4	..	..
Private consumption	..	..	113.0	102.8
General government consumption	..	..	51.5	48.7
Imports of goods and services	..	..	91.5	88.7
	1981-91	**1991-01**	**2000**	**2001**
(average annual growth)				
Agriculture	..	..		
Industry	..	..		
Manufacturing	..	..	..	..
Services	..	..	..	..
Private consumption	..	..		
General government consumption	..	..	..	
Gross domestic investment	..	..		
Imports of goods and services 3/	..	..		

Note: 2001 data are preliminary estimates.

* The diamonds show four key indicators in the country (in bold) compared with its income-group average. If data are missing, the diamond will be incomplete.

1/ Share of population below food poverty line of US$ 0.813/day is 11.9%.